ERA 17

The Great Depression

1929 – 1933

The crash · causes · the human toll · Hoover

ESSENTIAL QUESTION

What caused the Great Depression—and why did Hoover's response fall short?

KEY TERMS

The stock market crash · buying on margin · Hoovervilles · the Dust Bowl · the Bonus Army

ALIGNED TO

CED Topic 7.9 · AMSCO Ch. 7.9

WHEN THE BOOM WENT BUST

The Crash

The Stock Market Crash



- Through the 1920s, Americans poured money into a soaring stock market.
- Many bought on **margin**—borrowing to **speculate**.
- In October 1929, the market collapsed on **Black Tuesday**, wiping out fortunes.

Causes of the Depression

I

Overproduction & Underconsumption

Factories and farms produced more than people could afford to buy.

II

Speculation & Bank Failures

Margin buying and reckless banks collapsed—wiping out savings.

III

Deeper Weaknesses

Unequal wealth, a weak farm sector, and the **Hawley-Smoot Tariff** deepened the crisis.

SECTION

The Human Toll

Unemployment & Breadlines

- At its worst, **unemployment** hit nearly 25%.
- **Bank failures** erased the savings of millions.
- Breadlines and soup kitchens stretched around city blocks.



Hoovervilles



- Evicted and jobless families built shantytowns on the edges of cities.
- Bitter Americans mockingly named them '**Hoovervilles**.'
- The president's name became a symbol of the hard times.

The Dust Bowl

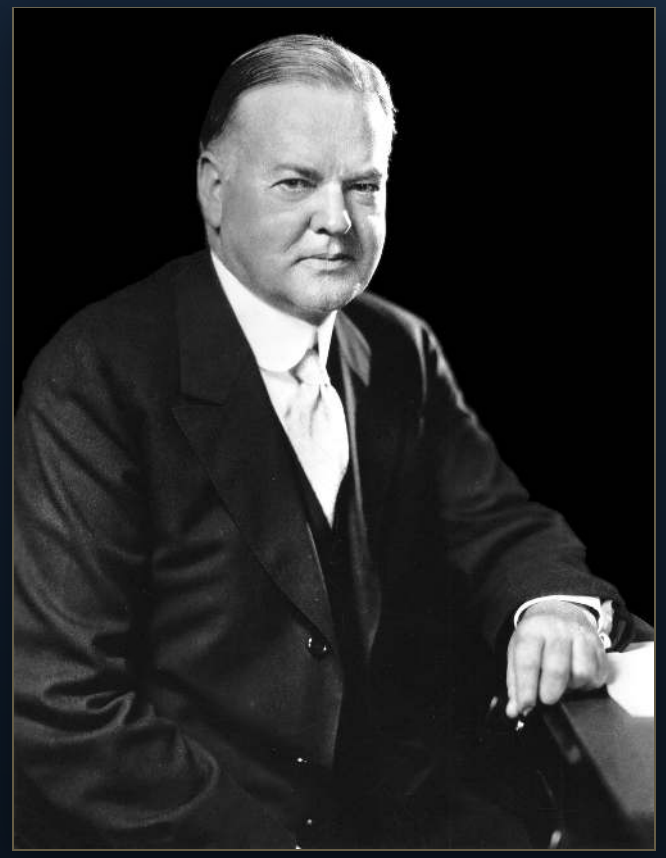
- Years of drought and over-farming turned the southern Plains to dust.
- Massive black blizzards buried farms across the region.
- Ruined farmers—'**Okies**'—fled west in search of work.



SECTION

Hoover's Response

Hoover & 'Rugged Individualism'



- **Hoover** believed in **rugged individualism** and voluntary aid, not direct relief.
- He eventually acted—the **Reconstruction Finance Corporation** lent to banks and businesses.
- But most Americans felt it was too little, too late.

The Bonus Army



- In 1932, WWI veterans marched on Washington to demand early payment of their **bonus**.
- Hoover ordered the army to clear the **Bonus Army's** camps.
- Troops burned the shanties—and Hoover's reputation with them.

KEY TAKEAWAYS

The Great Depression

1. The **1929 crash** exposed deep weaknesses: **overproduction**, reckless **speculation**, **bank failures**, and unequal wealth.

2. The human toll was staggering—25% **unemployment**, **Hoovervilles**, and the **Dust Bowl**.

3. **Hoover's** limited response and the crushing of the **Bonus Army** paved the way for **Franklin Roosevelt**.

DISCUSS & APPLY

The Great Depression

AP HISTORICAL REASONING PRACTICE

CAUSATION

Explain the underlying causes of the Great Depression beyond the **stock market crash**.

CONTINUITY & CHANGE

How did the Depression change daily life for ordinary Americans?

ARGUMENTATION

Was **Hoover** unfairly blamed for the Depression, or did he fail to respond adequately? Defend a claim.

Up next — **Lesson 40: The First New Deal** (FDR & the Three R's)